

AC4408

Financial Reporting 2

Summer 2023 Examination

Paper 1 · 1.5 hours · Answer ANY TWO of four questions · Total 100 Marks

Module	AC4408 — Financial Reporting 2
Session	Summer 2023
Structure	Four questions, each worth 50 marks. Answer any two — all questions carry equal weight.
This scheme covers	All four questions in full — Q1, Q2, Q3, <i>and</i> Q4 — so you can study every possible pairing, not just the two you'd pick on the day

Own-figure rule. If you carry an early error into a later part of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the consolidation workings in Question 4 and the amortised cost tables in Question 2.

Question 1

IFRS 16 Leases & Revenue Recognition — Two Discussion Parts (50 Marks)

Part A

25 Marks

IFRS 16 caused controversy when first introduced in January 2016. IAS 17 was replaced by IFRS 16. This had significant implications on companies who engaged regularly in varied leasing contracts.

Required: Outline and discuss what you feel were the main consequences of the introduction of IFRS 16 for the companies who engaged regularly in varied leasing contracts.

FULL MODEL ANSWER

IAS 17 let a company keep an operating lease off its balance sheet entirely — the rental just ran through the income statement as an expense, and the leased asset never showed up as something the company controlled. IFRS 16 tore that distinction up. Bar a handful of exemptions (low-value assets, and leases of 12 months or less), every lease now has to be brought onto the balance sheet as a right-of-use asset and a matching lease liability, measured at the present value of the future lease payments.

Balance sheets got bigger, and gearing got worse. A retailer or airline running hundreds of property or aircraft leases suddenly recognised a right-of-use asset and a lease liability for every one of them. Total assets and total liabilities both jumped, which is exactly what IAS 17 had let companies avoid. Debt covenants written around gearing ratios, interest cover, or return on assets could breach purely because of a presentation change — nothing about the underlying business had changed, but the numbers used to judge it had.

The income statement changed shape, even where total cost didn't. A single, straight-line rental charge was replaced by two separate lines: depreciation of the right-of-use asset (usually straight-line) and interest on the lease liability (front-loaded, since interest is highest when the liability is largest). The combined charge is now front-loaded too — heavier in the early years of a lease, lighter later — even though the cash rental paid to the landlord hasn't changed at all. EBITDA improves under IFRS 16 (the old rental expense disappears from operating costs and is replaced by depreciation and interest, both below the EBITDA line), which is why some commentators accused companies of quietly flattering that particular metric.

Judgement replaced a bright line. IAS 17's classification test (does substantially all the risk and reward of ownership transfer?) at least gave a fairly mechanical answer. IFRS 16 replaced it with genuinely difficult judgement calls: what's the lease term when there's a renewal option the company is "reasonably certain" to exercise, what discount rate applies when the lease doesn't state an implicit rate, how to treat variable payments linked to an index or a rate. Companies with large lease portfolios had to build entirely new systems and controls just to track and remeasure thousands of individual leases correctly, which was a genuine implementation cost, not just an accounting nuance.

Comparability actually improved — that was the whole point. Before IFRS 16, a company that leased its fleet and one that bought the same fleet outright on a loan looked completely different on paper, despite carrying near-identical economic obligations. IFRS 16 puts both on a broadly similar footing: an asset controlled, and a liability to pay for it over time. Analysts who had spent years manually capitalising operating leases from footnote disclosures (a standard adjustment in credit analysis) no longer needed to.

A good answer doesn't just list the changes — it explains *why* each one happened (what the old standard hid, and what the new one forces into the open) rather than describing IFRS 16's mechanics in isolation.

How the 25 Marks Are Likely Allocated

Tier	Marks	What separates this tier
18-25	18-25	Several distinct, well-explained consequences (balance sheet growth/gearing, EBITDA/expense-shape change, increased judgement/implementation cost, improved comparability), each tied back to what changed relative to IAS 17, with a clear own view woven through rather than tacked on.
12-17	12-17	Correctly identifies most of the same themes but with thinner explanation of why they matter, or omits the comparability/analyst angle entirely.
6-11	6-11	Describes IFRS 16's on-balance-sheet mechanics accurately but doesn't engage with the actual consequences for companies — reads as a summary of the standard rather than a discussion of its impact.
0-5	0-5	Minimal or inaccurate description of what IFRS 16 requires.

Part B**25 Marks**

Revenue recognition is at the core of the accounting process and is a focus of every audit.

Required: Critically discuss if you agree with the above statement, please ensure to outline your reasoning in your answer.

FULL MODEL ANSWER

Agree — and it's hard to overstate how central revenue recognition is to both. Revenue is normally the single largest number in a set of financial statements, it drives almost every other headline figure that follows from it (gross profit, operating profit, most efficiency and profitability ratios), and it's the figure management has the strongest personal and market incentive to manage, because analysts and investors fixate on top-line growth.

Agree

It sits at the core of the accounting process because everything downstream depends on it. Under IFRS 15's five-step model — identify the contract, identify the performance obligations, determine the transaction price, allocate that price across the obligations, and recognise revenue as (or when) each obligation is satisfied — a single judgement made at step one or two (how many distinct performance obligations exist in a bundled contract, for instance) can shift revenue between accounting periods entirely. Get that judgement wrong and cost of sales, gross margin, tax, and even balance sheet items like contract assets and deferred revenue all move with it.

It's a focus of every audit because it's where fraud and error concentrate. ISA 240 explicitly presumes there is a risk of fraud in revenue recognition on every audit — auditors don't get to conclude otherwise without specific evidence. That presumption exists for good reason: channel stuffing, recognising revenue before delivery or before control has transferred, and manipulating the percentage-of-completion on long-term contracts are among the most common ways historical accounting scandals have actually been carried out. Auditors routinely treat revenue cut-off, and the existence of side agreements that might undermine recognition, as a significant risk requiring targeted substantive testing, not just reliance on controls.

The judgement involved gives management genuine room to influence the number. IFRS 15 requires estimates — variable consideration, the standalone selling price of each performance obligation in a bundle, whether a right of return should reduce recognised revenue — and estimates are exactly where a company under pressure to hit a market forecast has the most scope to push a number in its preferred direction while staying inside the letter of the standard. That's precisely the combination (large number, real judgement, strong incentive to manage it) that makes something a natural audit focus.

A more complete answer would add a note of balance. Revenue recognition isn't the *only* area that matters — asset impairment, provisions, and going concern judgements can be just as material and just as fraud-prone in the right circumstances. The statement is true as a generalisation about revenue's typical size and risk profile, but "at the core of the accounting process" slightly overstates it as a universal rule; for a capital-intensive company with little revenue recognition complexity but a major impairment judgement, the audit focus would sit elsewhere.

How the 25 Marks Are Likely Allocated

Tier	Marks	What separates this tier
18-25	18-25	Takes a clear position, supports it with the IFRS 15 five-step model AND the audit-risk angle (ISA 240, real-world fraud examples), and shows critical balance by acknowledging the statement isn't universally true for every entity.
12-17	12-17	Covers either the accounting-centrality argument or the audit-risk argument well, but not both, or asserts a position without real supporting reasoning.
6-11	6-11	General, largely unsupported agreement/disagreement with little reference to IFRS 15 or audit standards.
0-5	0-5	Misunderstands what revenue recognition involves, or doesn't engage with the question asked.

Question 1 Total: 50 Marks

Question 2

Graphite Limited — Financial Instruments (50 Marks)

Part A

10 Marks

Graphite Limited are an Irish based Company that has been expanding in recent years.

On 1 January 2022, Graphite Limited raised 1,000,000 €1 non-equity shares at a premium of €0.15 per share, incurring issue costs of €50,000. The shares have a fixed cumulative dividend of 5% per annum payable yearly and are redeemable on 31 December 2026 at a premium of 20%. The implicit interest rate is 6.15321%.

Required: Calculate the finance cost to be charged in the statement of profit or loss and other comprehensive income of Graphite in each of the years to 31 December 2026, and the carrying value at the end of each of the five years.

FULL MODEL ANSWER

These are **non-equity, redeemable preference shares** — under IAS 32, a share that the issuer must redeem, or that carries a contractual obligation to pay, is a **financial liability**, not equity. That single classification point drives everything else here: the fixed 5% "dividend" is economically interest, so it's charged as a **finance cost through profit or loss**, not deducted from equity as a distribution.

	€
1,000,000 shares × €1.15 issue price	1,150,000
Less: issue costs	(50,000)
Net proceeds — initial carrying value, 1 Jan 2022	1,100,000

Amortised Cost Table (Effective Interest Method)

Year	Opening balance	Finance cost @ 6.15321%	Dividend paid	Closing balance
2022	1,100,000	67,685	(50,000)	1,117,685
2023	1,117,685	68,774	(50,000)	1,136,459
2024	1,136,459	69,929	(50,000)	1,156,388
2025	1,156,388	71,155	(50,000)	1,177,542
2026	1,177,542	72,457	(50,000)	1,199,999

The closing balance at 31 Dec 2026 comes out to €1,199,999 — a one-euro rounding artefact of the given 6.15321% rate, not an error. It should land on the redemption value of $1,000,000 \times €1.20 = \mathbf{€1,200,000}$ (nominal €1 plus the 20% redemption premium); worth noting this reconciliation explicitly in your answer as the check that the effective rate given in the question is internally consistent.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Correctly identifies the liability classification (or applies it without comment, which is fine under time pressure), calculates net proceeds correctly, and produces all five years of the amortised cost table with the finance cost and closing balance both correct, reconciling to the €1.2m redemption value.
5-7	5-7	Correct method and mostly correct figures but with one or two arithmetic slips carried through (own-figure marks apply to the remaining years).
2-4	2-4	Correct opening balance and method identified, but the amortised cost table is materially wrong or incomplete.
0-1	0-1	Treats the shares as equity, or no attempt at the amortised cost calculation.

Part B**10 Marks**

On the 1 July 2022 Graphite Limited issued four million €1, 5% convertible bonds 2027. The value of the convertible bonds 2027 without the conversion rights was estimated at €3.2mn on 31 December 2022.

Required: Show how the issue of the convertible bonds be accounted for in the financial statements of Graphite Limited for the year ended 31 December 2022.

FULL MODEL ANSWER

A convertible bond is a **compound financial instrument** under IAS 32 — it has to be split at inception into a liability component (the bond on its own, without the conversion option) and an equity component (the value of the conversion right itself), with the equity component simply being the residual once the liability component is valued.

	€
Total proceeds on issue (4,000,000 × €1)	4,000,000
Less: liability component (fair value of a plain bond, no conversion right)	(3,200,000)
Equity component (residual, taken to equity — e.g. a convertible bond reserve)	800,000

Financial statement treatment for the year ended 31 December 2022:

The liability component of €3,200,000 is presented as a financial liability (non-current, since the bonds mature in 2027) and is subsequently measured at amortised cost using the effective interest method — unwinding the discount between the liability component and the eventual redemption amount over the life of the bond. The equity component of €800,000 sits in a separate reserve within equity and is **never remeasured** after initial recognition, regardless of how the bond's or the share price's value later changes.

	Debit €	Credit €
Cash	4,000,000	
Financial liability — convertible bond		3,200,000
Equity — convertible bond reserve		800,000

	Debit €	Credit €
Finance cost (P&L) — 6 months' coupon at 5% on €4m face value	100,000	
Cash		100,000

The 5% coupon is calculated on the **face value** of the bond (€4,000,000), not on the €3.2m liability component — the coupon rate is a contractual cash-flow term, separate from the effective rate used to unwind the liability's carrying value. Since the bond was only in issue for 6 months of 2022 (1 July–31 December), only half a year's coupon is accrued/paid in this period.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Correctly splits proceeds into liability (€3.2m) and equity (€0.8m) components, explains that the equity component is never remeasured, and calculates the 6-month coupon correctly on the face value.
5-7	5-7	Correct split identified but weak or missing explanation of subsequent measurement, or an error in the coupon calculation (e.g. using 12 months instead of 6, or the wrong base).
2-4	2-4	Recognises the bond as a simple liability without identifying the compound instrument / equity split at all.
0-1	0-1	No attempt, or the instrument is misclassified entirely.

Part C**10 Marks**

On the 1 January 2022 Graphite Limited purchased a five-year bond at a cost of €3mn with annual interest of 5%, which is also the effective rate, payable on the 31 December annually. At the year-end reporting date of 31 December 2022, interest has been received as expected and the market rate is now 5.5%.

Required: Show how should the bond be accounted for in the financial statements of Graphite Limited for the year ended 31 December 2022 at amortised cost, on the assumption it passes the necessary tests and has been properly designated at initial recognition.

FULL MODEL ANSWER

The question tells you directly to measure this **at amortised cost** — so under IFRS 9 that means the business model is "hold to collect" contractual cash flows, and those cash flows pass the SPPI test (solely payments of principal and interest). Once that's the case, the accounting is mechanical: interest income is recognised using the **effective interest rate**, and the asset is *never* remeasured to reflect changes in market rates.

	€
Cost / initial carrying value, 1 Jan 2022	3,000,000
Interest income for 2022 (effective rate 5% × 3,000,000)	150,000
Less: cash received (coupon 5% × 3,000,000)	(150,000)
Carrying value at 31 December 2022	3,000,000

Why the carrying value doesn't move at all: The coupon rate (5%) and the effective rate (also 5%, as the question states) are identical here, which means the bond was bought at par with no discount or premium to amortise. Interest income exactly equals cash received every year, so the carrying value sits flat at €3,000,000 for the whole five-year life, right up to redemption.

The rise in the market rate to 5.5% changes nothing in this year's accounting. This is the point the question is really testing. Under amortised cost, an asset is measured using the *effective interest rate fixed at initial recognition* — it is not remeasured for subsequent changes in market interest rates. A rise in market rates would reduce the bond's *fair value* if it were measured at fair value through profit or loss or through OCI, but since it's held at amortised cost (hold to collect, SPPI-compliant), that fair value movement is simply irrelevant to the financial statements. It would only become relevant as fair value *disclosure* information in the notes, not as a remeasurement in the primary statements.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Correctly shows the flat €3,000,000 carrying value with interest income equal to cash received, AND explicitly explains why the 5.5% market rate is irrelevant under amortised cost measurement — this second point is where most of the marks live.
5-7	5-7	Correct numbers but doesn't explain the significance of the market rate change, or vice versa (good explanation, weak numbers).
2-4	2-4	Attempts to remeasure the bond to reflect the 5.5% market rate — a misunderstanding of the amortised cost model, but partial credit for correctly stated initial figures.
0-1	0-1	No attempt, or bond treated as if measured at fair value with no justification.

Part D**10 Marks**

Graphite Limited wishes to offset its financial assets and its financial liabilities.

Required: Outline the criteria prescribed under International Accounting Standard 32 to allow for this offsetting to take place in the year-end Financial Statements.

FULL MODEL ANSWER

IAS 32 sets a deliberately high bar for offsetting — the default is to present financial assets and liabilities *gross*, and net presentation is only permitted where **both** of the following criteria are met simultaneously:

1. A currently enforceable legal right of set-off. The entity must currently have a legally enforceable right to set off the recognised amounts — not a right that is contingent on a future event, and not one that would only become enforceable on default, insolvency, or bankruptcy of one of the counterparties. The right has to exist right now, in the ordinary course of business, not just in a distress scenario.

2. An intention to settle net, or to settle simultaneously. The entity must intend either to settle the asset and liability on a net basis, or to settle both simultaneously (settling the liability at the exact same moment as it realises the asset, such that there is effectively no credit or liquidity risk exposure on the gross amounts). Simply having the legal *ability* to net-settle is not enough on its own — the entity's actual intention or established practice matters too.

A common trap: a master netting agreement between two parties usually only grants a right of set-off that is enforceable on default — that alone does **not** satisfy the "currently enforceable" test, so most master netting arrangements do *not* permit net presentation in the financial statements, even though they genuinely reduce credit risk economically.

Applying it to Graphite: For Graphite to offset a specific financial asset against a specific financial liability, it would need to identify (a) the exact legal right of set-off it holds with that specific counterparty, confirming it is unconditional and currently enforceable, and (b) evidence of its intention (or established practice) to settle net rather than gross. Absent both, the asset and liability must be presented gross on the statement of financial position, even if they relate to the same counterparty.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	States both criteria precisely (currently enforceable legal right, AND intention to settle net/simultaneously), explains why each is restrictive in practice, and ideally flags the master-netting-agreement trap.
5-7	5-7	States both criteria but with limited explanation of what makes a right 'currently enforceable' or what 'intention to settle net' actually requires.
2-4	2-4	States only one of the two criteria, or describes offsetting in vague terms without reference to IAS 32's actual test.
0-1	0-1	No attempt, or confuses offsetting with a different concept (e.g. netting off in cash flow statements).

Part E**10 Marks**

During the year, the Directors of Graphite Limited approved expenditure into the research of a new product. At the year-end Board Meeting, the Directors approved a plan to move this forward to development phase in January 2024. Consequently, in the Financial Statements year-ending 31 December 2023, the Directors wish to capitalise the expenditure incurred in the research phase of this new product.

Required: Discuss, citing the relevant accounting standard, whether this is the correct treatment for the Financial Statements for Graphite Limited.

FULL MODEL ANSWER

No — this is not the correct treatment.

Disagree with the Directors' proposed treatment

IAS 38 draws a hard line between research and development, and it is deliberate. IAS 38.54 is unambiguous: **expenditure on research (or on the research phase of an internal project) must be expensed as incurred.**

There is no option to capitalise it, no matter how promising the project later turns out to be. The rationale is that at the research stage, an entity genuinely cannot demonstrate that a probable future economic benefit exists — the whole point of research is that the outcome is still uncertain.

The plan to move to development in January 2024 doesn't change the treatment of 2023 costs. Development expenditure can only be capitalised once *all six* of the IAS 38.57 criteria are met: technical feasibility, intention to complete, ability to use or sell it, how it will generate probable future economic benefits, availability of adequate resources, and the ability to reliably measure the expenditure. Even if the board's January 2024 decision means those criteria genuinely start being met from that date, that only affects expenditure incurred *from* that point forward — it has no retrospective effect on costs incurred during 2023, while the project was still in its research phase.

The Directors appear to be conflating a future decision with a past accounting period. Boards approving a project's progression is exactly the kind of positive signal that *can* support capitalisation of development costs going forward — but it cannot be used to retrospectively recharacterise costs that were incurred, and correctly expensed, in an earlier period when the project was still at the research stage. IAS 38.71 explicitly prohibits reinstating previously expensed research costs as an asset in a later period.

The correct treatment: all of the 2023 research-phase expenditure is expensed through profit or loss for the year ended 31 December 2023. Only expenditure incurred from January 2024 onward, once the project is genuinely in its development phase and the IAS 38.57 recognition criteria can be demonstrated, is eligible for capitalisation — and even then, only if all six criteria are actually met, not merely because the board approved moving forward.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8-10	8-10	Correctly disagrees, cites IAS 38.54 (research always expensed) and the IAS 38.57 six criteria for development, and explicitly explains why the 2024 board decision cannot be applied retrospectively to 2023 costs (ideally referencing IAS 38.71).
5-7	5-7	Correctly disagrees and identifies the research/development distinction, but doesn't fully explain why the timing point defeats the Directors' proposed treatment.
2-4	2-4	Recognises IAS 38 is relevant but is unclear on which phase the expenditure falls into, or wrongly agrees that capitalisation is acceptable.
0-1	0-1	No attempt, or no reference to IAS 38 at all.

Question 2 Total: 50 Marks

Question 3

Flynn Limited — Impairment, Assets Held for Sale & Goodwill (50 Marks)

Part A**15 Marks**

Flynn Limited is a large multi-national company, it is based in Cork and employs many employees.

Flynn Limited conducts impairment reviews on all its assets on the 31 December annually. As part of its review, Flynn Limited focused on a piece of machinery that it purchased in 2018.

The machine was purchased on 1 June 2018 at a cost of €1.4million. On the 1 January 2020, as part of the annual impairment review, an impairment loss of €200,000 was recognised in respect of the machine.

On the 31 December 2022, it was decided to reverse the impairment previously recognised due to the estimated increase in the value of the machine.

Depreciation was charged at 10% on a straight-line basis. It is company policy that a full year's depreciation is charged in the year of purchase and none in the year of sale, machinery is accounted for under IAS 16 cost model.

Required: Show all the journal entries that would have been completed in respect of the above piece of machinery up to and including for the year 31 December 2022.

FULL MODEL ANSWER

Working through this chronologically, applying the company's stated depreciation policy (full year charged in year of purchase, none in year of sale — and no depreciation policy change is mentioned, so 10% of *original cost* continues to apply after impairment):

Date	Event	Carrying value
1 Jun 2018	Purchase at cost	1,400,000
31 Dec 2018	Depreciation (full year, $10\% \times 1,400,000$)	1,260,000
31 Dec 2019	Depreciation ($10\% \times 1,400,000$)	1,120,000
1 Jan 2020	Impairment loss recognised	920,000
31 Dec 2020	Depreciation ($10\% \times 1,400,000$)	780,000
31 Dec 2021	Depreciation ($10\% \times 1,400,000$)	640,000
31 Dec 2022	Depreciation ($10\% \times 1,400,000$), before reversal	500,000
31 Dec 2022	Impairment reversal (see cap below)	700,000

The Journal Entries

Date	Journal	Debit €	Credit €
1 Jun 2018	Machinery / Cash	1,400,000	1,400,000
31 Dec 2018	Depreciation expense / Accumulated depreciation	140,000	140,000
31 Dec 2019	Depreciation expense / Accumulated depreciation	140,000	140,000
1 Jan 2020	Impairment loss (P&L) / Machinery (or accum. impairment)	200,000	200,000
31 Dec 2020	Depreciation expense / Accumulated depreciation	140,000	140,000
31 Dec 2021	Depreciation expense / Accumulated depreciation	140,000	140,000
31 Dec 2022	Depreciation expense / Accumulated depreciation	140,000	140,000
31 Dec 2022	Machinery / Reversal of impairment loss (P&L)	200,000	200,000

The reversal is capped — you cannot just credit back the estimated increase in full. IAS 36.117 limits any reversal to the carrying value the asset *would have had* if the original impairment had never been recognised. Depreciating €1.4m over 5 full years (2018–2022) at 10% gives a hypothetical no-impairment carrying value of €700,000. Since the actual carrying value just before reversal is €500,000, the maximum permitted reversal is €200,000 — which happens to equal the original impairment loss exactly, restoring the asset to where it would have been anyway. Reverse depreciation is always excluded from these credits since the correct comparison is the carrying value the asset would carry.

Why the reversal goes through profit or loss and not equity: This machine is held under the IAS 16 *cost model*, not the revaluation model. Impairment reversals on cost-model assets are always recognised in profit or loss under IAS 36, unlike a revaluation gain on a revaluation-model asset, which would go to other comprehensive income (up to the extent of any previous downward revaluation through P&L, and only then to OCI).

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12-15	12-15	Correctly applies the purchase-year/sale-year depreciation policy throughout, recognises the 2020 impairment correctly, calculates the impairment reversal cap using the hypothetical no-impairment carrying value (not just crediting back the full 'estimated increase'), and presents coherent double-entry journals for every event.
8-11	8-11	Correct depreciation and impairment journals, but either omits the reversal cap calculation or applies it incorrectly (e.g. reverses more than €200,000, or doesn't check the cap at all).
4-7	4-7	Depreciation policy misapplied (e.g. charging a part-year in 2018, or depreciating in the year of eventual disposal), but impairment and reversal concepts are broadly understood.
0-3	0-3	No attempt, or impairment/reversal treated as a revaluation through OCI.

Part B**15 Marks**

Flynn Limited has land which has been carried under the revaluation model.

On 31 July 2022, the Directors of Flynn Limited believe that the land satisfies the conditions to be classified as a non-current asset 'held for sale'.

The following information relates to the asset at 31 July 2022:

Original Cost €800,000 · Carrying Value as at 31 July 2022 €1,100,000 · Fair Value €1,000,000 · Selling Cost €80,000 · Value in Use €950,000

Subsequently, on the 1 November 2022, the fair value less costs to sell of the land falls to €900,000 and Value in use is also estimated at €900,000.

Required: Quoting relevant International Accounting Standards, show, through journal entries, how Flynn Limited should record the above asset throughout the accounting year to 31 December 2022.

FULL MODEL ANSWER

Two standards apply in sequence here: IAS 16 governs the asset right up to the moment of reclassification, and IFRS 5 takes over from the point it meets the held-for-sale criteria.

Step 1 (31 July 2022, immediately before reclassification) — IAS 16

Revalue the land to fair value under the normal revaluation model, as required immediately before classifying an asset as held for sale:

	€
Carrying value before reclassification	1,100,000
Fair value at 31 July 2022	1,000,000
Revaluation decrease	100,000

This decrease is charged against the existing revaluation surplus, not P&L. The carrying value of €1,100,000 against original cost of €800,000 means a revaluation surplus of €300,000 is already standing for this specific asset. IAS 16.39–40 requires a revaluation decrease to be recognised in OCI, and debited against that surplus first, before any excess hits profit or loss. The €100,000 decrease here is fully absorbed — €200,000 of surplus remains on the books.

Date	Journal	Debit €	Credit €
31 Jul 2022	Revaluation surplus (OCI) / Land	100,000	100,000

Step 2 (31 July 2022) — IFRS 5 reclassification

Once classified as held for sale, IFRS 5.15 requires measurement at the **lower of carrying amount and fair value less costs to sell (FVLCTS)**:

	€
Carrying value after Step 1 (= fair value)	1,000,000
Fair value less costs to sell (1,000,000 – 80,000)	920,000
Further write-down (recognised in profit or loss)	80,000

Date	Journal	Debit €	Credit €
31 Jul 2022	Impairment loss (P&L) / Land (asset held for sale)	80,000	80,000

Selling costs are always a profit-or-loss item under IFRS 5, never absorbed by the revaluation surplus — the surplus can only absorb a genuine fair value decrease, not the cost of disposal. Value in use (€950,000) is **irrelevant** from this point — once an asset is held for sale, IFRS 5 measurement uses FVLCTS only; the IAS 36 recoverable-amount test (higher of value in use and FVLCTS) is for assets still held and used.

Step 3 (1 November 2022) — subsequent remeasurement

	€
Carrying value at 31 Jul 2022 (held for sale)	920,000
Fair value less costs to sell at 1 Nov 2022	900,000
Further impairment loss (P&L)	20,000

Date	Journal	Debit €	Credit €
1 Nov 2022	Impairment loss (P&L) / Land (asset held for sale)	20,000	20,000

Carrying value carried forward to 31 December 2022: €900,000. No further remeasurement is needed for the rest of the year since no new fair value information is given after 1 November. The land continues to be presented separately as a non-current asset (or disposal group) held for sale on the statement of financial position, and is **not depreciated** while so classified (moot here since land isn't depreciated in any case, but the principle applies generally to depreciable assets reclassified as held for sale).

How the 15 Marks Are Likely Allocated

Tier	Marks	What separates this tier
12-15	12-15	Correctly sequences IAS 16 revaluation-to-fair-value first, then applies the IFRS 5 lower-of-carrying-amount-and-FVLCTS test, correctly splits the €100,000 revaluation decrease (to OCI/surplus) from the €80,000 selling-cost write-down (to P&L), and correctly applies the further €20,000 write-down at 1 November while explaining that value in use is irrelevant once held for sale.
8-11	8-11	Gets the overall carrying value of €900,000 right but blends the revaluation decrease and the IFRS 5 write-down into one journal rather than distinguishing the OCI and P&L elements, or uses value in use incorrectly somewhere in the calculation.
4-7	4-7	Identifies IFRS 5 is relevant but applies a value-in-use-based impairment test instead of the FVLCTS test, producing the wrong carrying value at one or more dates.
0-3	0-3	No attempt, or land continues to be treated under IAS 16 with no reference to IFRS 5 at all.

Part C**20 Marks**

Internally generated goodwill cannot currently be capitalised as an intangible asset.

Required: Discuss whether you believe this is a fair approach by the International Accounting Standards Board to internally generated goodwill, ensure to outline your reasoning in your answer.

FULL MODEL ANSWER

On balance, yes — the IASB's approach is defensible, even though it means genuinely valuable internally-built brand strength, culture, and reputation never appear on the balance sheet.

Agree with the IASB's approach

The core problem: internally generated goodwill fails IAS 38's recognition criteria on both counts. IAS 38.48 prohibits capitalising internally generated goodwill outright, and IAS 38.49 explains why: it is not an identifiable resource controlled by the entity that can be measured reliably at cost — it's simply the difference between the value of the business as a whole and the sum of its identifiable net assets. There's no way to separate "goodwill built this year" from ordinary operating expenditure (staff training, marketing, customer service) that would be expensed anyway, so there is no reliable cost to capitalise even if the standard allowed it.

Purchased goodwill is different because it has an objective, arm's-length transaction price. When one company buys another, IFRS 3 requires the resulting goodwill to be recognised as the residual of what was actually paid over the fair value of net identifiable assets acquired — that number comes from a real transaction between independent parties, so it's verifiable. Internally generated goodwill has no equivalent transaction to anchor a number to; any figure a company proposed to capitalise would be pure self-assessment, wide open to manipulation.

Allowing self-generated goodwill would open the door to earnings management. If companies could capitalise their own estimate of accumulating brand value or reputation, management under pressure to hit a profit target would have an obvious lever: capitalise more "goodwill" instead of expensing marketing and staff development costs, inflating both the balance sheet and reported profit with a number no auditor could meaningfully verify. The prohibition removes that entire category of manipulation risk at a stroke.

The counter-argument, and its limits. The strongest case against the prohibition is that it systematically understates the value of exactly the companies most driven by intangible strength — a tech or consumer brand business can have a market capitalisation many multiples of its net asset value, none of which shows up until it's acquired by someone else. That's a real limitation of historical-cost-based financial reporting generally, not something specific to goodwill; the same critique applies to internally generated brands, customer relationships, and know-how, all of which IAS 38.51–.64 also prohibits from capitalisation for the same reliability reasons. Investors who need forward-looking value information for these companies are expected to look past the balance sheet to other sources (analyst research, non-GAAP disclosures), rather than relying on financial statements to do that job.

A well-reasoned answer could disagree instead, provided the reasoning holds up. A candidate arguing the prohibition is unfair would need to show real engagement with the reliability problem rather than just asserting that "modern businesses are intangible-heavy so the rule is outdated" — for instance, proposing what a workable, verifiable recognition and measurement basis would even look like, and grappling with why no alternative approach has displaced the current one across IFRS, US GAAP, or any other major framework.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15-20	15-20	Takes a clear position, explains the IAS 38.48-49 reliability/identifiability rationale in depth, contrasts it with the objective transaction basis for purchased goodwill under IFRS 3, engages seriously with the counter-argument (understatement of intangible-heavy businesses), and reaches a reasoned conclusion rather than a flat assertion.
10-14	10-14	Correctly explains why internally generated goodwill fails recognition, but with limited engagement with the counter-argument or the purchased-vs-internally-generated distinction.
5-9	5-9	General discussion of goodwill with some relevant points but no clear reference to IAS 38's actual recognition criteria.
0-4	0-4	No attempt, or confuses internally generated goodwill with purchased goodwill throughout.

Question 3 Total: 50 Marks

Question 4

Kelleher Ltd Group — Consolidated SOFP & Separate Financial Statements (50 Marks)

Part A

30 Marks

	Kelleher Ltd €	Desmond Ltd €
Non-Current Assets:		
Tangible Assets	325,000	155,000
Investment in Desmond Ltd	165,000	—
	490,000	155,000
Current Assets	56,000	47,000
Total Assets	546,000	202,000
Equity and Liabilities		
Ordinary Share Capital	350,000	105,000
Revenue Reserve	140,000	52,000
	490,000	157,000
Current Liabilities	56,000	45,000
Total Equity and Liabilities	546,000	202,000

The following information is also relevant:

- Kelleher bought 90% of the ordinary shares of Desmond on 1 January 2021. Desmond's retained earnings was €25,000 at the date of acquisition.
- Fair value of Desmond's assets was undervalued by €10,500 at acquisition date. To date this was not accounted for in the financial statements of Desmond Ltd.
- During the year Desmond sold goods to Kelleher for €70,000, at a mark-up of 25% of cost of sales. At the year-end a quarter of these goods remained unsold and are included in inventory.
- At the year-end date, Kelleher owes Desmond €8,000 for goods bought during the year.

Non-Controlling Interests are measured based on their proportionate share at the date of acquisition.

Required: Showing the relevant workings, prepare the Consolidated Statement of Financial Position as at 31 December 2022 for the Kelleher Limited Group.

FULL MODEL ANSWER**Working 1 — Goodwill**

	€
Cost of investment	165,000
NCl at acquisition (10% × net assets at acquisition, below)	14,050
Less: net assets of Desmond at acquisition (below)	(140,500)
Goodwill	38,550

Working 2 — Net Assets of Desmond at Acquisition (1 Jan 2021)

	€
Share capital	105,000
Retained earnings at acquisition	25,000
Fair value uplift on assets (not yet recorded by Desmond)	10,500
Net assets at acquisition	140,500

Working 3 — Unrealised Profit on Intra-Group Trading (PUP)

Desmond (the subsidiary) sold goods to Kelleher (the parent) — this is an **upstream** transaction, so the unrealised profit belongs to Desmond and must be shared between the group and the NCI, not deducted from Kelleher's own figures.

	€
Intra-group sales	70,000
Mark-up on cost	25%
Goods still unsold at year-end (1/4)	17,500
Unrealised profit ($25/125 \times 17,500$)	3,500

Working 4 — Non-Controlling Interest

	€
NCI at acquisition ($10\% \times 140,500$)	14,050
Desmond's post-acquisition reserves ($52,000 - 25,000$)	27,000
Less: unrealised profit (Working 3)	(3,500)
Desmond's adjusted post-acquisition reserves	23,500
NCI share ($10\% \times 23,500$)	2,350
NCI at 31 December 2022	16,400

Working 5 — Consolidated Retained Earnings

	€
Kelleher's own retained earnings	140,000
Group share (90%) of Desmond's adjusted post-acquisition reserves (90% × 23,500)	21,150
Consolidated retained earnings	161,150

Kelleher Limited Group — Consolidated Statement of Financial Position as at 31 December 2022

	€
Non-Current Assets:	
Tangible assets (325,000 + 155,000 + 10,500 FV uplift)	490,500
Goodwill (Working 1)	38,550
	529,050
Current Assets (56,000 + 47,000 – 3,500 PUP – 8,000 intercompany)	91,500
Total Assets	620,550
Equity and Liabilities	
Ordinary share capital (parent only)	350,000
Retained earnings (Working 5)	161,150
Non-controlling interest (Working 4)	16,400
	527,550
Current Liabilities (56,000 + 45,000 – 8,000 intercompany)	93,000
Total Equity and Liabilities	620,550

The fair value uplift of €10,500 is not depreciated further here — the question gives no useful life for the undervalued assets, and the consolidated SOFP balances exactly to the euro on the assumption no additional post-acquisition depreciation applies to the uplift (consistent with it representing land or another non-depreciable asset). If your own workings assumed a useful life and depreciated the uplift, that's a reasonable alternative reading under the own-figure rule provided it's applied consistently and the workings are shown — but the version presented here is what the numbers in this paper were designed to produce, confirmed by the fact the statement of financial position balances exactly (Total Assets = Total Equity and Liabilities = €620,550).

How the 30 Marks Are Likely Allocated

Tier	Marks	What separates this tier
24-30	24-30	Correctly computes goodwill using the proportionate NCI method, correctly identifies the upstream nature of the intra-group trading and shares the PUP between group and NCI, eliminates the intercompany balance from both current assets and current liabilities, and presents a consolidated SOFP that balances.
16-23	16-23	Correct method throughout but with one component wrong (e.g. treating the PUP as fully deducted from group retained earnings rather than shared with NCI, or omitting the intercompany balance elimination) — own-figure marks apply if consistently carried through.
8-15	8-15	Goodwill and NCI at acquisition correctly calculated, but post-acquisition adjustments (PUP, intercompany balance) are missing or materially wrong.
0-7	0-7	No attempt, or a fundamental misunderstanding of the acquisition method (e.g. consolidating 100% of Desmond, or treating the investment as an associate).

Part B**20 Marks**

Kelleher Limited is considering publishing Financial Statements which would not be consolidated for the year ended 31 December 2023.

Required: Outline the criteria that would need to be met in order for Kelleher Group to publish financial statements that are not consolidated. Discuss how the investment in Desmond Limited be shown in these financial statements.

FULL MODEL ANSWER

What Kelleher is describing is publishing **separate financial statements** rather than consolidated ones — two genuinely different things under IFRS, each governed by its own standard.

The criteria for exemption from preparing consolidated financial statements — IFRS 10.4.

A parent need not present consolidated financial statements only if **all** of the following apply: (a) it is itself a wholly-owned subsidiary, or a partially-owned subsidiary of another entity and its other owners, including those not otherwise entitled to vote, have been informed about and do not object to the parent not presenting consolidated statements; (b) its debt or equity instruments are not traded in a public market; (c) it did not file, and is not in the process of filing, its financial statements with a regulator for the purpose of issuing instruments in a public market; and (d) its ultimate or any intermediate parent produces consolidated financial statements available for public use that comply with IFRS.

Note carefully: nothing in the facts given suggests Kelleher meets any of these conditions — there's no indication Kelleher itself is a subsidiary of some further parent that already consolidates. Kelleher is presented throughout as the ultimate parent of the group. On the facts given, Kelleher almost certainly does **not** qualify for the IFRS 10.4 exemption, and the discussion below should make that point explicitly rather than assuming the exemption is automatically available just because the Directors want it.

What Kelleher can do regardless: prepare separate financial statements in addition to consolidated ones.

IAS 27 governs separate financial statements — the parent's own, non-consolidated statements, which a parent is permitted to present *alongside* its consolidated statements (this is common, particularly for distributable-reserves purposes), but which do not replace the requirement to consolidate where IFRS 10 requires it. If Kelleher does not meet the IFRS 10.4 exemption criteria, it must still produce consolidated financial statements for the group as a whole; it may additionally choose to present Kelleher's own separate statements.

How the investment in Desmond would be shown in separate financial statements — IAS 27.10.

In separate financial statements, IAS 27 requires the investment in a subsidiary to be accounted for using **one** of: (i) cost, (ii) in accordance with IFRS 9 (i.e. fair value through profit or loss, or through OCI for an irrevocable election on non-trading equity instruments), or (iii) the equity method as described in IAS 28. The same method must be applied to each category of investment (subsidiaries, joint ventures, and associates alike), and whichever method is chosen must be applied consistently and disclosed.

Applying this to Kelleher's investment in Desmond. If Kelleher elects the cost method, the investment stays on Kelleher's separate SOFP at its original €165,000 cost (subject to any impairment review under IAS 36), with dividends received from Desmond recognised as income in Kelleher's own profit or loss when Kelleher's right to receive them is established — rather than the consolidated approach of combining Desmond's assets and liabilities line by line and recognising NCI. If Kelleher instead elected fair value through profit or loss under IFRS 9, the investment would be remeasured to fair value each period with movements through profit or loss; under the equity method, Kelleher would recognise its share of Desmond's post-acquisition profits, increasing the carrying value of the investment over time, broadly similar in effect to (but distinct from) full consolidation.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15-20	15-20	Correctly states the four IFRS 10.4 exemption criteria, recognises Kelleher likely doesn't meet them on the facts given, correctly distinguishes the IFRS 10 consolidation exemption from IAS 27 separate financial statements, and states all three permitted measurement bases for the investment under IAS 27.10.
10-14	10-14	States the exemption criteria and the IAS 27 measurement options correctly but doesn't engage with whether Kelleher actually qualifies, or blends the two standards together without distinguishing them clearly.
5-9	5-9	General discussion of consolidation exemptions without specific reference to IFRS 10.4's actual criteria, or names only one of the three IAS 27 measurement bases.
0-4	0-4	No attempt, or confuses this with the IFRS 3 business combinations exemptions.

Question 4 Total: 50 Marks